Problems aplenty

NFTs are not without their share of problems. Being a blockchain based technology, just like cryptocurrencies, it faces a lot of flak over its heavy energy usage. The proof-of-work system that keeps records secure on a blockchain is very energy-intensive. CrytoArt.wtf calculated that a simple GIF NFT can use around 200kWh for its creation, which is close to two weeks' power consumption of an EU resident.

Some players like Sega and ArtStation dropped their NFT plans after they faced a heavy backlash from the community over energy concerns. Beeple has promised to create carbon neutral work in the future. New blockchains like Palm and Flow claim to be low-energy and carbon-neutral, and plant trees to compensate for the environmental damage, if any. Polygon claims that you can mint an NFT on its blockchain using just as much energy as it takes to send three emails. Ethereum is also rolling out Ethereum 2.0 in phases. The 2022 and 2023 upgrades will enable the platform to process thousands of transactions per second and scale globally, thereby reducing energy consumption and gas fees significantly.

Trading transactions can also be very expensive and slow because of the on-chain nature of NFTs. Experts suggest sidechains and rollups as possible solutions. Sidechains are separate blockchains that run parallel to Ethereum. A rollup takes multiple Ethereum transactions and rolls them up into a single piece of data before submitting them all to the blockchain.

Another risk is that of bit rot—the tendency of digital information to degrade or become unusable over long periods of time.

There is also the effect of frequent fluctuations inherent in the crypto-world. According to a Financial Times report, NFTs saw $41 billion in sales and huge VC investment in 2021.

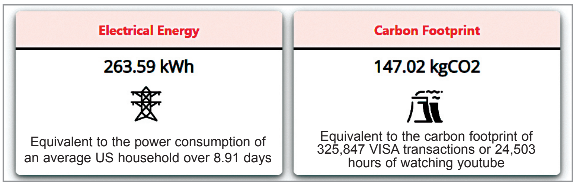

Fig. 5: Footprint of a single Ethereum transaction (Source: Digiconomist)

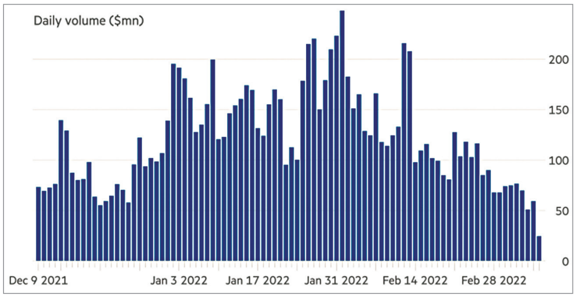

Fig. 6: Trading on OpenSea in decline (Source: Richard Chen/ Dune Analytics)

However, daily trading volumes in OpenSea went down by 80% in March 2022. The average selling price of NFTs and the number of accounts buying and selling NFTs also went down. This shows the fluctuating nature of this business and raises questions about its future. However, considering that the values in the crypto-world fluctuate rapidly, there is a high possibility of these figures being up when you read this article!

Despite its merits, the future of NFTs seems to be uncertain—but that is how most of today's mainstream technologies were in their nascent stages.

Should you invest in NFTs yet?

The blockchain and its spin-offs like cryptocurrencies and NFTs seem to be swerving from their intended path.

Ethereum co-founder Vitalik Buterin is not a big fan of NFTs as they are perceived today. Buterin, who hopes for the Ethereum to be a launchpad for all sorts of socio-political experimentation like fairer voting systems, urban planning, universal basic income, and public-works projects, is concerned about the dangers to overeager investors, the soaring transaction fees, and the shameless display of wealth that have come to dominate public perception of crypto. "The peril is you have these $3 million monkeys, and it becomes a different kind of gambling," he says, referring to Bored Apes, when speaking to TIME magazine in March this year.

"People may have lost their mind," says C.Z. Zhao, founder of Binance, a leading cryptocurrency exchange, who told Fortune recently, speaking of the NFT craze. He was quick to add that there is an undeniable plus, as NFTs allow artists to monetise their work globally and reach a much wider audience.

The Indian government is also discouraging crypto-investments. Amidst fear of it being banned in the country, Finance Minister Nirmala Sitharaman announced in this year's annual Budget presentation that income from cryptocurrencies and NFT trade will henceforth be taxed at 30%. This is seen by optimistic investors as a step towards regularising crypto-investments, although the government said that it has not decided yet on the status of crypto in the country.

Surprisingly, the man who struck gold, Mike Winkelmann, also seemed worried about NFTs when speaking to Fox News Sunday last year! "I absolutely think it's a bubble, to be quite honest. I go back to the analogy of the beginning of the internet. There was a bubble. And the bubble burst. But it didn't wipe out the internet. And so, the technology itself is strong enough where I think it's going to outlive that," he remarked.

Yes, NFT as a technology is a worthy one—but better put to use to induce efficiency and transparency in existing systems. While minting and trading of NFTs can be used for meaningful engagement with fans and customers, it must not become unethical and destabilising like gambling! Over time, quick-money fads will disappear, leaving more room for beneficial applications. EFY